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No. 98-822

IN THE

Supreme Court of The United States

FRIENDS OF THE EARTH, *et al.*,
Petitioners,

v.

LAIDLAW ENVIRONMENTAL SERVICES (TOC), INC.,
Respondent.

On Writ of Certiorari
to the United States Court of Appeals
for the Fourth Circuit

PETITIONERS' RESPONSE TO SUGGESTION OF MOOTNESS

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INTRODUCTION

Plaintiffs brought this action under the Clean Water Act, 33 U.S.C. 1251, *et seq.*, to enforce the National Pollutant Discharge Elimination System (NPDES) permit issued to respondent Laidlaw Environmental Services (TOC), Inc. ("Laidlaw"). The district court found that Laidlaw had violated the mercury limitation in its permit 489 times. *Friends of the Earth v. Laidlaw Envtl. Services (TOC), Inc.*, 956 F. Supp. 610, 613-621 (D.S.C. 1997)(J.A.158, 185-196). The district court denied plaintiffs' request for injunctive relief due to the fact that Laidlaw had achieved substantial compliance with the permit, but imposed a civil penalty to deter Laidlaw from future violations. *Id.* at 610-611 (J.A. 181-183).

Because injunctive relief was denied and the denial was not appealed by plaintiffs, the Court of Appeals for the Fourth Circuit vacated and remanded with instructions to dismiss on the ground that the case was moot based on this Court's decision in *Steel Co. v. Citizens for Better Env't*, 118 S. Ct. 1003 (1998). The court of appeals reasoned that "[b]ecause Plaintiffs have not appealed the denial of declaratory and injunctive relief, the only potential relief that may be available to redress their claimed injuries is the civil penalty imposed upon Laidlaw" and "[s]uch penalties * * * cannot redress any injury suffered by a citizen plaintiff." *Friends of the Earth v. Laidlaw Envtl. Services (TOC), Inc.*, 149 F.3d 303, 306 (Pet. App. 7a).

On March 1, 1999, this Court granted certiorari on the following questions (Br. for Pet., p. i):

> 1. Whether a citizen suit seeking civil penalties under Section 505 of the Clean Water Act is constitutionally moot under *Steel Co. v. Citizens for Better Environment*, 118 S. Ct. 1003 (1998), due to lack of redressability, where plaintiffs had standing at the time of the complaint and have shown continuing injury-in-fact but have not obtained injunctive relief.

2. Whether a citizen suit seeking civil penalties under Section 505 of the Clean Water Act is constitutionally moot under *Steel Co.*, due to lack of redressability, when the district court has rendered a declaratory judgment as to liability and the issue of liability was contested.

3. Whether plaintiffs could not be awarded attorneys' fees or litigation costs because the case was dismissed for mootness, even if the litigation was responsible for bringing the defendant into compliance with the Clean Water Act.

Pursuant to Rule 21 of the Rules of this Court, Laidlaw now files a suggestion of mootness based on its claim that it has closed its facility. Suggestion of Mootness, p. 1. Laidlaw claims that closure of the facility raises an issue of mootness in addition to the issue of mootness already before the Court. *Ibid.* Laidlaw also claims that plaintiffs raised this new issue of mootness in the Brief for Petitioners. *Ibid.*

In Part I below, we show that these are not new facts. They were argued by the parties and *amici* in the briefing on the Petition for a Writ of Certiorari. In Part II, we show that a Suggestion of Mootness in a case already held to be moot, albeit on alternative grounds, is unwarranted. In Part III, we show that the closure of the facility does not moot the case because the civil penalty continues to deter future violation of the Act by Laidlaw, as well as any successor to the permit. In Part IV, we show that even if the merits of the case are determined to be moot, the attorneys' fees issue is indisputably not moot.

ARGUMENT

I. THE CLOSURE OF THE FACILITY WAS BRIEFED BY THE PARTIES BEFORE THE PETITION WAS GRANTED

The purpose of a suggestion of mootness is to raise for the first time an issue of mootness. It is not an opportunity to raise an issue of mootness previously presented to the Court. In its Suggestion of Mootness, Laidlaw suggests that the case is moot because it closed or shut down its incinerator. Yet, both it and the *amici curiae* supporting it raised exactly this point in opposition to the Petition for a Writ of Certiorari. *See* Resp. Br. in Opp., p. 1, n.1 and p. 10; Br. of *Amici Curiae* South Carolina Chamber of Commerce, *et al.* in Support of Resp., p. 7. Plaintiffs responded at length in their Reply Brief (pp. 4-7) showing how the closure of the facility did not moot the case.

Thus, the issue that Laidlaw now presents in its Suggestion of Mootness was previously presented to this Court and this Court decided to issue a writ of certiorari. Since this Court has already determined that the closure of the facility was not a bar to the granting of certiorari, there is no basis for revisiting this issue.[1/]

[1/] In his concurring opinion in *Honig v. Doe*, 484 U.S. 305, 331-332 (1988), Chief Justice Rehnquist urged adoption of an exception to the mootness doctrine for cases "where the events which render the case moot have supervened since our grant of certiorari or noting of probable jurisdiction in the case." Here, the events which Laidlaw argues render the case moot did not supervene the grant of certiorari. Instead, the events occurred before the petition was filed and were addressed by the parties during the briefing on the petition. The circumstances here present an even stronger argument for this Court preceding to the merits than the exception urged by Chief Justice Rehnquist.

II. A SUGGESTION OF MOOTNESS IN A CASE ALREADY ADJUDGED TO BE MOOT IS UNWARRANTED

The court of appeals determined that this case was moot. 149 F.3d at 306-307 (Pet. App. 8a). Two of the three questions upon which this Court granted certiorari involve mootness. *See* Br. for Pet., p. i. Since the case has already been adjudged to be moot and since this Court will be addressing mootness pursuant to its grant of certiorari, there is no basis for a suggestion of mootness. A suggestion of mootness is for cases not previously adjudged to be moot where the circumstances have changed so as to create an issue of mootness during the pendency of the case before this Court.

That is not the situation here. Not only was the case previously adjudged to be moot, but the circumstances have not changed. As discussed above (p. 3), Laidlaw and its supporting *amici* raised this issue at the petition stage. Indeed, if Laidlaw's argument had merit, it could have raised the closure of the facility before the court of appeals since it claims that its decision to close the facility was made by June 2, 1997 (Suggestion of Mootness, p. 7), over a year before the court of appeals issued its decision on July 16, 1998.

Since the case has already been adjudged to be moot, the Suggestion of Mootness merely raises an alternative ground for the court of appeals' finding of mootness. It is not a basis upon which this Court must decline to reach the mootness issues already presented by the Petition.

Moreover, the basis for mootness presented in the Suggestion of Mootness is closely related to the mootness issues presented by the Petition. Laidlaw's Suggestion of Mootness is premised on the fact that civil penalty relief is moot when "'there is no reasonable expectation that the wrong will be repeated.'" Suggestion of Mootness, p. 3 (quoting *Gwaltney of Smithfield, Ltd. v. Chesapeake Bay Found.*, 484

U.S. 49, 66 (1987), which in turn was quoting *United States v. W.T. Grant Co.*, 345 U.S. 629, 633 (1953)). This is the test for when injunctive relief is moot. *See, e.g., United States v. Concentrated Phosphate Export Ass'n*, 393 U.S. 199, 203 (1968); *W.T. Grant*, 345 U.S. at 633. However, this Court has not determined when civil penalty relief becomes moot. That is precisely the issue presented by this case.

In order to resolve both the merits of the mootness issues presented by the Petition and that presented in the Suggestion of Mootness, this Court must determine when civil penalty relief becomes moot in a citizen suit. More specifically, as discussed more fully below, this Court must determine the legal standard to be applied in ascertaining when a civil penalty payable to the United States Treasury provides a deterrent against future violations so as to satisfy the requirement of redressability for purposes of mootness. Thus, this Court's decision as to the issues on which the writ of certiorari was granted will significantly affect the resolution of the issue Laidlaw raises in its Suggestion of Mootness.

III. IN SPITE OF THE CLOSURE, LAIDLAW ITSELF, AS WELL AS ANY SUCCESSOR TO ITS PERMIT, WILL BE DETERRED FROM VIOLATING THE CLEAN WATER ACT

In *Steel Co.*, this Court held that civil penalties did not satisfy redressability in a case where the defendant was not violating the statute at the time of the complaint and there was no allegation in the complaint of continuing violation. 118 S.Ct. at 1017-1018. In analyzing the redressability issue relating to civil penalties, the Court emphasized that the penalties were paid to the United States Treasury rather than the plaintiff. *Id.* at 1018. This analysis suggests that general deterrence, the effect of the imposition of a civil penalty on other dischargers, does not support redressability. *See also id.* at 1019. However, in view of this Court's emphasis on the fact

that *Steel Co.* involved only initial standing and not mootness after initial standing had been shown (*id.* at 1019-1020), it is not clear whether this determination affects the present case. Assuming *arguendo* that *Steel Co.* establishes that general deterrence does not satisfy the requirement of redressability for purposes of mootness, the imposition of a civil penalty in this case provides specific deterrence.

In determining whether the penalty will deter future violations, the focus must be on Laidlaw itself, not its facility. Analysis of the specific deterrent value of a speeding ticket focuses on the driver, not on his vehicle. A speeder who has suffered the consequences of a speeding ticket is deterred from speeding regardless whether he sells or no longer drives the vehicle in which he was speeding. He is deterred when he drives another of his vehicles or when he buys and drives a new vehicle. Thus, the issue here is whether the civil penalty will serve to deter Laidlaw from violating the Clean Water Act in the future.

Even though Laidlaw has closed its facility, it continues to be deterred by the penalty imposed by the district court in several ways.

First, although Laidlaw has closed the facility and dismantled the incinerator, Laidlaw continues to hold its NPDES permit. It has not taken any action to terminate the NPDES permit. Indeed, Laidlaw admits that the permit is still active. Suggestion of Mootness, pp. 4-5 and App. B, p. 6a. Since its permit is still in effect, it has the right to discharge in the future whenever it cares to do so.

Laidlaw argues that this is not the case because it has sold or discarded its equipment. Suggestion of Mootness, p. 4. The sale or disposal of its equipment does not eliminate the possibility that Laidlaw could discharge in the future. By keeping its NPDES permit active, Laidlaw is keeping its

options open.[2/] Laidlaw could assemble other equipment and reconstitute its operation. *See Government of the Virgin Islands v. Virgin Islands Paving, Inc.*, 714 F.2d 283, 284-285 (3d Cir. 1983)(no mootness where defendants had moved the equipment out of the Virgin Islands and had ceased the offending operation because the defendants had not surrendered the lease to the property and could resume the challenged operations). The fact that Laidlaw may have to obtain permits and other government approvals before resuming operations on the site does not mean that it would not be "free to return to [its] old ways."[3/] *Concentrated Phosphate*, 393 U.S. at 203. It just may take a few more steps to get there.

Second, even if the permit is transferred to a purchaser, Laidlaw's payment of a civil penalty would serve to deter violations by the purchaser. Unlike a general deterrent as to dischargers not connected to this permit, a purchaser would be discharging under the permit which Laidlaw was penalized for violating. Laidlaw's successor, knowing that Laidlaw had been penalized for violating the permit it now holds, would be specifically deterred from repeating the same kinds of violations that caused Laidlaw to be penalized.

[2/]Laidlaw claims that it has kept its NPDES permit alive, not because it intends to discharge in the future, but "because to do so might make the site more attractive to a prospective purchaser." Suggestion of Mootness, App. B, p. 6a. It is extremely unlikely that the NPDES permit could be transferred to a prospective purchaser of the site, since the purchaser would not be purchasing an ongoing operation using the same equipment. *See* S.C. Reg. 61-9.122.61-122.62 (1996). In any event, Laidlaw's statement of its present intent cannot be controlling when it is free to change its position at any time.

[3/]In the injunction context, the test for mootness is a stringent one--injunctive relief is not moot as long as the defendant is free to return to his old ways. *Concentrated Phosphate*, 393 U.S. at 203. The remoteness of that possibility is relevant to the issue of whether injunctive relief should be granted, not whether it is moot. *Ibid.*

Third, even if Laidlaw never revived its operation at this location, it has at least has at least 16 other NPDES permitted facilities. Friends of the Earth and Sierra Club have members who use the waters affected by Laidlaw/Safety-Kleen's[4/] discharges from some of these facilities and their use and enjoyment of these waters is adversely affected by illegal discharges from these facilities. *See* Reply Br. in Support of Pet. for Writ of Cert., App. 33a. The issuance of civil penalties in this case would deter Laidlaw from violating the statute at these other facilities.

Laidlaw claims in its Suggestion of Mootness that it has no other facilities and that plaintiffs have not cited any authority for claiming that civil penalties imposed on one company might have a deterrent effect on another company. Suggestion of Mootness, p. 5. Laidlaw's argument is disingenuous. While the particular Laidlaw subsidiary that owns the South Carolina facility may not presently own any other facility, its parent corporation and sibling subsidiary corporations, all of which are wholly owned by the parent corporation (Resp. Br. in Opp., p. ii), own the other facilities. Since a civil penalty paid by a wholly-owned subsidiary reduces the profits of the parent company, a civil penalty paid by a wholly-owned subsidiary constitutes a specific deterrent for the parent and all sibling subsidiary corporations.

An appeal must be dismissed as moot when an intervening event makes it impossible for the court to grant "'any effectual relief whatever' in favor of the appellant." *Calderon v. Moore*, 116 S. Ct. 2066, 2067 (1996)(quoting *Church of Scientology of California v. United States*, 506 U.S. 9, 13 (1992)). The remedy does not need to be "'fully satisfactory'" to avoid mootness. *Ibid.* The relief still at stake here, a substantial civil penalty, is certainly effectual relief. Since the relief here provides specific deterrence against the possibility of future

[4/] Laidlaw is now doing business as Safety-Kleen. Resp. Br. in Opp., p. ii.

violations, this case is not moot.

IV. THE ATTORNEYS' FEES ISSUE IS NOT MOOT

In its Suggestion of Mootness, Laidlaw fails even to mention the attorneys' fees issue upon which this Court also granted certiorari. That issue is not affected in any way by closure of the facility.

When it vacated the district court's order and remanded with instructions to dismiss, the court of appeals decided that "[p]laintiffs' failure to obtain relief on the merits of their claims precludes any recovery of attorneys' fees or other litigation costs because such an award is available only to a 'prevailing or substantially prevailing party.'" 149 F.3d at 307, n. 5 (Pet. App. 9a, n. 5). This Court granted certiorari on the issue of "[w]hether plaintiffs could not be awarded attorneys' fees or litigation costs because the case was dismissed for mootness, even if the litigation was responsible for bringing the defendant into compliance with the Clean Water Act." Br. for Pet., p. i.

If this Court holds that the case is moot, either for the reason decided by the court of appeals or the reason set forth in Laidlaw's Suggestion of Mootness, the attorneys' fees issue is squarely presented.[5/] Laidlaw does not, and could not, argue

[5/] Plaintiffs have argued that the attorneys' fees issue should be resolved even if this Court reverses the court of appeals' ruling on mootness and holds the case not moot. Br. for Pet. 50, n. 28.

An order vacating the court of appeals' mootness decision will not eliminate the precedential value of the fees ruling since it is based on an earlier similar ruling by the court of appeals. *See* Br. for Pet., p. 43. Leaving this ruling in place when all other circuits have upheld the catalyst theory -- except the Eleventh and Federal Circuits which have not addressed the issue -- creates a situation where the Clean Water Act will not be uniformly enforced nationwide. As a result, enforcement of the Act, which heavily depends on citizen enforcement (*see id.*, pp. 35-38), would be substantially reduced in the Fourth Circuit. This, in turn, undermines Congress' intent that the Act be uniformly enforced to prevent forum shopping by dischargers seeking to avoid the requirements of the Act. *See*

the contrary. For the reasons set forth in the Brief for Petitioners (pp. 42-50), the court of appeals' ruling on the fees issue must be reversed.

CONCLUSION

For the foregoing reasons, the Suggestion of Mootness should be denied and briefing on the merits should proceed as scheduled.[6/]

Respectfully submitted,

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A Legislative History of the Water Pollution Control Act Amendments of 1972, 93d Cong., 1st Sess., vol. 1, pp. 355-356, 433, 452-453 (1973). *See also American Frozen Food Institute v. Train,* 539 F.2d 107, 129 (D.C. Cir. 1976); *American Iron and Steel Institute v. EPA,* 526 F.2d 1027, 1044 (3d Cir. 1975).

[6/]In its Suggestion of Mootness (p. 1), Laidlaw requests that the Court suspend the remainder of the briefing schedule pending disposition of the Suggestion. There is no basis for suspending briefing when the facts giving rise to the Suggestion of Mootness were previously considered during the petition stage, the mootness issue presented by the Suggestion is closely related to the mootness issue upon which certiorari was granted and the fees issue would remain.